

Institutional Convergence and Economic Transformation: Assessing the impact of EU Accession on Albania

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Executive Summary

Albania enters the final phase of its European Union accession process from a position of relative macroeconomic strength. Economic growth remains among the highest in Europe, inflation is well contained, public debt has declined, and external balances have improved. These conditions provide a favorable foundation for accession but are not, on their own, sufficient to achieve long-term convergence with the European Union. As this paper argues, Albania's greatest opportunity lies not in further macroeconomic stabilization but in strengthening the quality and effectiveness of its institutions.

The analysis finds little evidence that EU membership itself leads to sustained inflation. The experiences of Slovenia, Croatia and Bulgaria demonstrate that inflation following accession has generally reflected global economic shocks, domestic demand conditions and energy prices rather than EU membership. Albania's existing inflation-targeting framework, prudent monetary policy and high degree of economic integration with the EU suggest that accession is unlikely to create persistent inflationary pressures. Instead, any price increases are expected to be temporary and concentrated in sectors undergoing real economic convergence.

The paper argues that the greatest economic benefits of EU membership arise through institutions. Accession requires reforms that strengthen judicial independence, improve regulatory quality, enhance public procurement transparency, professionalize the civil service and reinforce anti-corruption mechanisms. Evidence from previous enlargements indicates that these institutional improvements increase investor confidence, reduce transaction costs, strengthen property rights and support higher long-term productivity growth. Albania has already made measurable progress in governance, but significant gaps remain, particularly in corruption control, the rule of law and public accountability.

The paper also recognizes that accession involves important transition risks. Labor emigration, pressure on small businesses, uneven regional development, higher housing prices, administrative costs and reduced national policy discretion will require careful management. However, international experience suggests that these costs are generally outweighed by the long-term benefits of stronger institutions, deeper integration into the European Single Market and improved governance.

Overall, the findings suggest that EU membership should be viewed primarily as an institutional transformation rather than simply an economic event. While macroeconomic stability provides the foundation for accession, sustained improvements in governance, transparency, judicial effectiveness and public administration will ultimately determine whether Albania achieves lasting income convergence with the European Union.

Macroeconomic Stability

Albania enjoys one of the highest growth rates in Europe, low inflation, declining public debt, and strong foreign reserves. Building on this foundation, the Albanian government is advancing bold reforms to secure EU membership by 2030. Growth is projected to remain robust at 3.5 percent in 2025 and 3.6 percent in 2026, while risks to the outlook have shifted to the downside amid a more unsettled external environment. (IMF, 2025)

Timely domestic reforms are essential to safeguarding macroeconomic stability and closing reform gaps with the EU. Key to this will be preserving fiscal buffers through sustained revenue mobilization, maintaining price and financial stability through agile monetary policy and further refinement of prudential tools, and advancing comprehensive reforms in human capital, labor markets, and governance. (IMF, 2025)

Albania's tourism-led growth and macroeconomic prospects are expected to remain robust. Direct effects from U.S. tariffs are minimal, while indirect effects from global trade measures and uncertainty also appear limited so far. Despite some moderation, tourism continues to provide steady support to economic output. Headline inflation is projected to gradually increase from 2.2 percent in 2025 to the 3 percent target in the second half of 2026, amid a tight labor market and rising wages. The current account deficit is projected at 2.8 percent of GDP in 2025 and to gradually widen to about 3.5 percent of GDP over the medium term as rising disposable income and public capital expenditure boost imports.

Risks to the outlook have shifted to the downside amid a more unsettled external environment. Geopolitical tensions, escalating trade measures, commodity price volatility, and prolonged uncertainty could affect Albania's key trading partners and weaken external demand. Global financial market volatility and asset price corrections could reduce demand for Albanian sovereign debt and may lead to rollover risks. Domestically, a sharper-than-anticipated decline in the working age population could exacerbate labor shortages, fuel inflation, necessitate a tighter monetary policy stance, and dampen growth prospects. On the upside, the sustained implementation of the EU reform agenda could boost productivity and growth. (IMF, 2025)

The Albanian government is pressing ahead with a bold reform agenda to secure EU membership by 2030. The Socialist Party's decisive win with 83 of 140 seats in the May elections provides a robust mandate to advance on EU accession, with all 33 negotiating chapters officially opened and 3 closed so far. Backed by €922 million (3.7 percent of GDP) from the EU Growth Plan for the Western Balkans, the agenda focuses on enhancing the business environment, strengthening human capital, promoting digitalization, and reinforcing the rule of law. (IMF, 2025)

The strong macroeconomy provides a solid foundation for advancing reforms. Output is now well above its pre-pandemic trend thanks to a booming tourism sector. Fiscal discipline has led to a significant reduction in public debt while proactive monetary policy has helped bring inflation below target. At the same time, external imbalances have shrunk considerably amid strong foreign reserves. (IMF, 2025)

Nonetheless, Albania's goal of income convergence to the EU will require overcoming structural reform gaps, while navigating a more unsettled external environment. Productivity remains subdued, with income per capita at just a third of the EU level (a quarter of that of the U.S.), and reform gaps in human capital, governance and business regulation are wide. These medium-term challenges are compounded by a more unsettled external environment and rising domestic pressures on wages and asset prices including in the real estate sector, which pose risks to the sustainability of tourism-driven growth. (IMF, 2025)

In the figure below, IMF has projected Albania's economic indicators until 2030 which display positive trend and suggest macroeconomic stability.

Albania: Selected Economic Indicators, 2024–30							
	2024	2025	2026	2027 Proj.	2028	2029	2030
Output							
Real GDP growth (%)	4.0	3.5	3.6	3.4	3.2	3.2	3.2
Employment							
Unemployment rate (%) 1/	9.4	9.3	9.2	9.1	9.0	8.9	8.8
Prices							
Inflation (% end-period)	2.1	2.4	3.0	3.0	3.0	3.0	3.0
General government finances							
Revenues (% of GDP)	28.2	29.0	29.3	29.5	29.7	29.7	29.7
Expenditures (% of GDP)	28.7	30.6	31.3	31.8	32.0	31.9	31.9
Primary balance (% of GDP)	1.7	0.4	0.2	0.0	0.0	0.0	0.0
Fiscal balance (% of GDP)	-0.4	-1.7	-2.0	-2.2	-2.3	-2.2	-2.3
Public debt (% of GDP)	54.5	52.7	51.6	50.8	50.0	49.3	48.7
Money and credit							
Broad money (% change)	4.9	6.5	6.0	6.5	6.3	6.3	6.3
Credit to the private sector (% change)	12.3	11.5	9.5	6.5	6.3	6.3	6.3
Balance of payments							
Current account (% of GDP)	-2.5	-2.8	-2.9	-3.0	-3.2	-3.4	-3.5
FDI (% of GDP, net)	-5.4	-5.1	-5.0	-4.9	-4.9	-4.8	-4.8
Reserves (months of imports)	7.0	7.5	7.4	7.3	7.2	7.1	6.9
External debt (% of GDP)	40.7	39.8	39.2	38.8	38.3	37.8	35.8

Sources: Albanian authorities; and IMF staff projections and calculations.
1/ Unemployment rate = 15–64 years old

Figure 1: IMF's projections of Albania's economic indicators

Inflation

EU membership itself should not cause a large or permanent increase in Albanian inflation. Albania would not automatically adopt the euro when it joined the EU, as it would be a separate process requiring compliance with inflation, fiscal, exchange rate and interest rate criteria. In addition, other factors relevant to economic integration and convergence are also taken into account, for example the strength of the country's institutional environment.

Convergence must also be sustainable, meaning that satisfying the economic convergence criteria at one point in time is not enough since they need to be met on a lasting basis. (European Central Bank)

The table below displays the timeline of EU accession and adopting the euro for newly joined countries.

Country	EU Accession	Eurozone	Transition Time
Slovenia	2004	2007	3 years
Cyprus	2004	2008	4 years
Malta	2004	2008	4 years
Slovakia	2004	2009	5 years
Estonia	2004	2011	7 years
Latvia	2004	2014	10 years
Lithuania	2004	2015	11 years
Croatia	2013	2023	10 years
Bulgaria	2007	2026	19 years

Table 1: EU Accession and Eurozone (European Commission)

The Maastricht economic thresholds, formally known as the euro convergence criteria are a set of five macroeconomic performance metrics established by the 1992 Maastricht Treaty. EU member states must fulfill these conditions to demonstrate economic stability before they can legally adopt the euro:

Criterion	What is Measured	Exact Threshold
Inflation	Price Stability	$\leq$ Average of 3 best states + 1.5%
Deficit	Annual budget balance	$\leq$ 3% of GDP
Debt	Total Public Debt	$\leq$ 60% of GDP (or steadily declining)
Exchange Rate	Currency Volatility	2 years in ERM II without devaluation
Interest Rate	Long Term convergence	$\leq$ Average of 3 best states + 2.0%

Table 2: The euro convergence criteria (European Central Bank)

The Exchange Rate Mechanism (ERM II) anchors an applicant country's national currency to the euro by allowing its value to fluctuate only within a strict, predefined band of $\pm 15\%$. During this two-year testing period, the country cannot unilaterally devalue its currency, ensuring its economic stability can handle integration without relying on artificial exchange-rate manipulation. This mechanism effectively serves as a trial period to prove that the candidate nation can maintain monetary policy alignment with the European Central Bank before permanently surrendering its domestic currency.

Inflation before and after EU Accession

The inflation experience of Croatia, Slovenia and Bulgaria suggests that joining the European Union does not, by itself, generate a prolonged period of high inflation. The charts, based on World Bank and IMF data, show that inflation around accession was generally contained and that the largest price increases occurred during wider international shocks such as the “Dot-com” bubble and the “Global financial crisis of 2008”, rather than as a direct consequence of EU membership. This distinction is important for Albania. Accession may alter particular prices and accelerate gradual price-level convergence, but current macroeconomic conditions do not indicate a broad inflationary surge either before or immediately after membership.

Croatia joined the EU in 2013, when inflation was already declining and subsequently remained very low for several years. Its most significant inflationary increase occurred around 2022, almost a decade after accession and shortly before euro adoption. The timing indicates that the increase was primarily associated with the global energy and food-price shock, supply-chain disruption and the broader post-pandemic inflation cycle rather than EU membership. Inflation then moderated as these external pressures weakened. Croatia therefore provides little evidence that accession itself creates structurally high inflation.

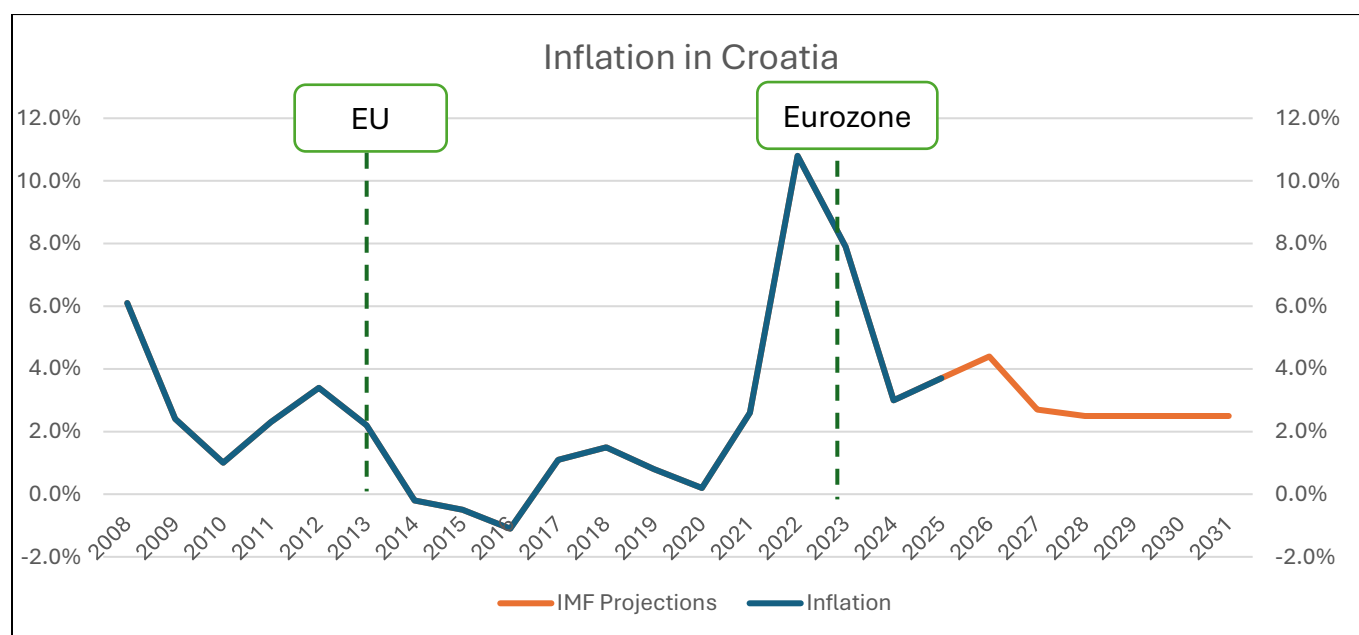


Chart 1: Croatia Inflation (World Bank & IMF)

Slovenia presents a similar pattern. Inflation declined substantially in the years surrounding its EU accession in 2004 and remained relatively moderate after the country adopted the euro in 2007. The later sharp increase occurred during the European inflation shock of 2021–2023, approximately two decades after accession. Bulgaria’s experience also shows no

persistent accession-related inflation. Although inflation rose around 2007–2008, this coincided with rapid domestic credit expansion and a global commodity-price cycle. Bulgaria’s currency board agreement, which strictly pegged the domestic currency to euro, further fueled high inflation by limiting the role of its Central bank to control the money supply. It’s much larger subsequent peak occurred during the recent European energy crisis, independently of its earlier EU entry.

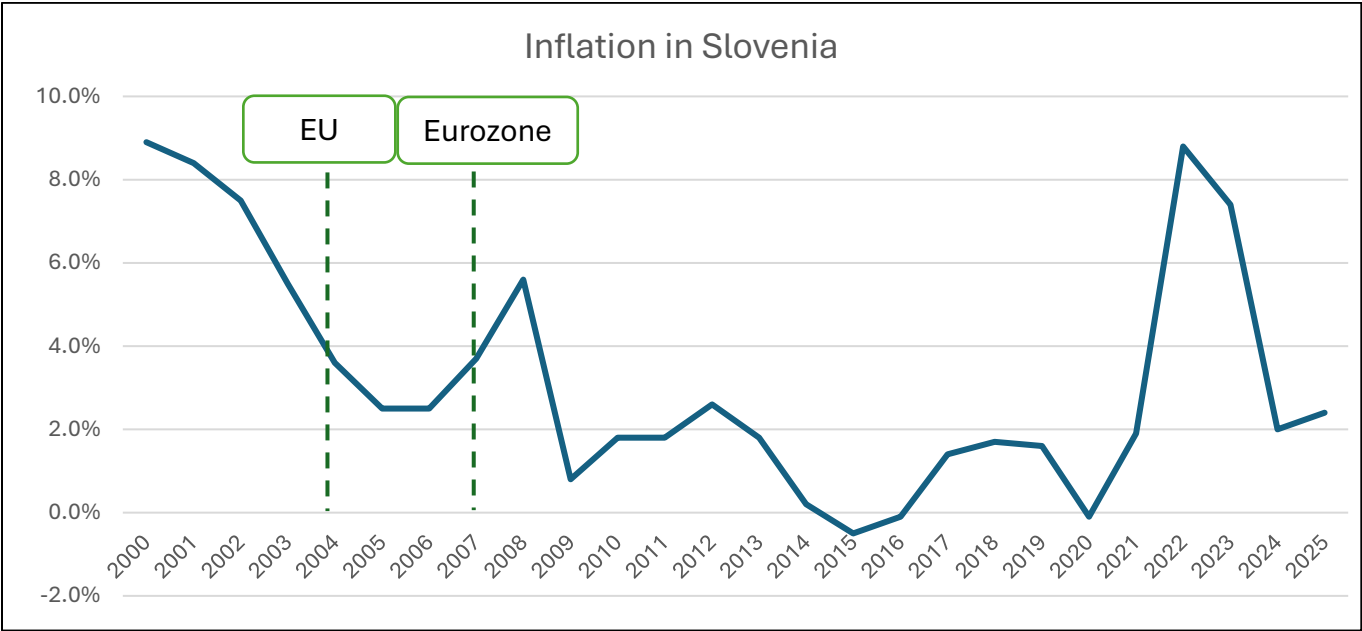


Chart 2: Inflation in Slovenia (World Bank)

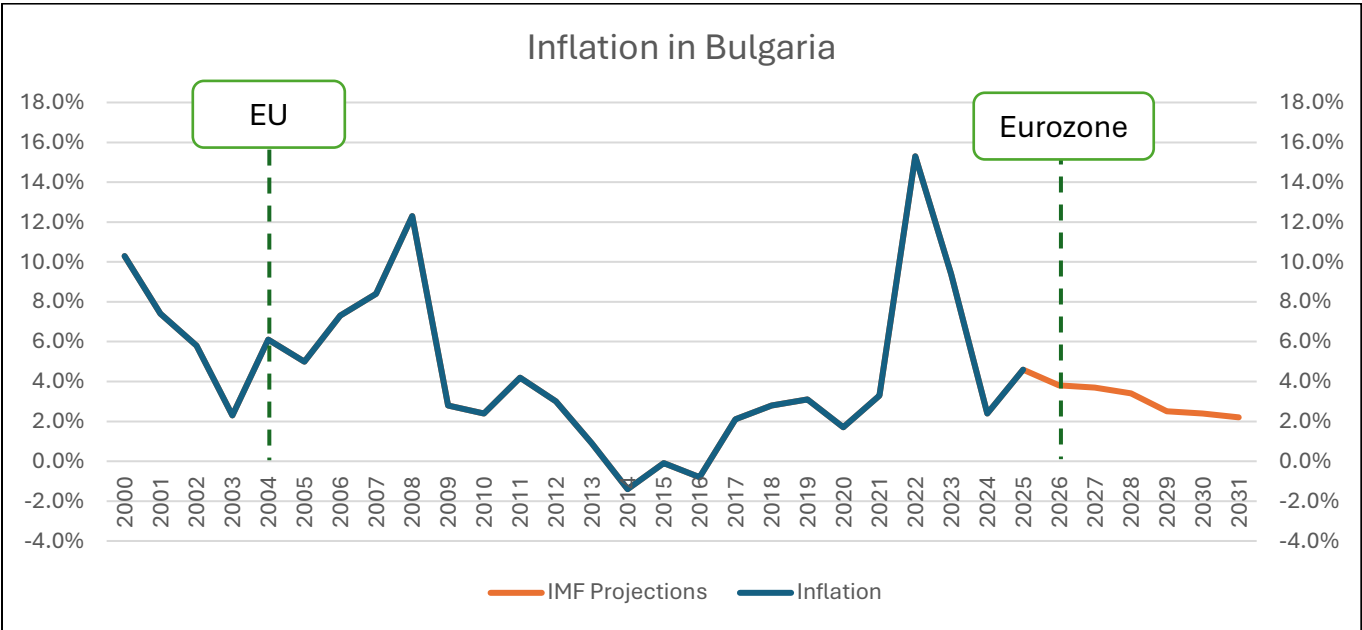


Chart 3: Inflation in Bulgaria (World Bank & IMF)

The comparison consequently suggests that inflation in new member states is driven more strongly by the domestic economic cycle, global commodity prices, wage developments, energy dependence and monetary and fiscal policy than by accession itself. EU entry can nevertheless produce limited upward pressure through higher wages, stronger investment demand, adjustments in administered prices and compliance with environmental, labor and product standards. Prices in services, housing and regulated utilities may increase more rapidly than the prices of tradable goods. These adjustments should be understood as part of gradual real and price convergence rather than evidence of an uncontrolled inflationary process.

Albania currently enters the accession process with substantially more stable inflation conditions than several previous members experienced during their periods of transition. Inflation has generally remained within a low single-digit range, while IMF projections shown in the chart indicate continued moderation around the Bank of Albania's target. Albania also benefits from an established inflation-targeting framework, a flexible exchange rate and strong trade integration with the EU. The appreciation of the lek has further reduced imported inflation, although it has simultaneously placed pressure on export competitiveness.

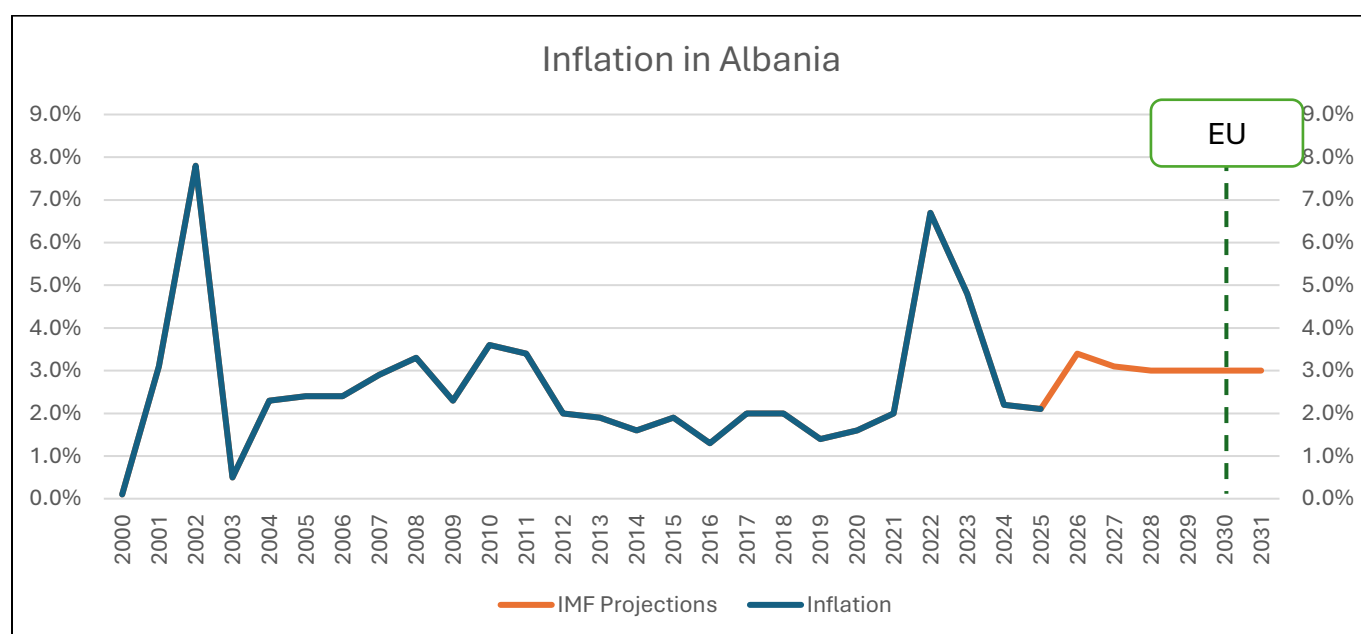


Chart 4: Inflation in Albania (World Bank & IMF)

Moreover, much of the economic adjustment associated with European integration has already begun. The EU is Albania's largest trading and investment partner, and the country has progressively aligned its regulations and markets with EU standards. Formal membership would therefore represent an extension of an existing integration process rather

than an abrupt opening of a previously isolated economy. This lowers the probability of a sudden demand or import-price shock at the moment of accession.

Some inflation risks would remain. EU-funded investment could temporarily increase construction costs and demand for labor, continued emigration could create wage pressures, and housing prices could rise if membership increases foreign and diaspora demand for Albanian property. Environmental investments and the reform of electricity, water and waste-management pricing could also generate one-off increases in administered prices. However, these effects are likely to be sector-specific and manageable through monetary policy, fiscal discipline, competition enforcement and targeted support for lower-income households.

Overall, the comparative evidence does not support the expectation of high inflation caused by Albania's entry into the European Union. A more plausible outcome is that inflation remains close to the Bank of Albania's target, with temporary pressure in services, wages, housing and regulated prices. The main inflationary risks would arise not from EU membership itself, but from external energy shocks, excessive domestic demand, rapid wage growth without corresponding productivity gains, or poorly coordinated fiscal expansion. EU accession should therefore be viewed as a process of gradual price and income convergence, rather than as a discrete inflationary event.

GDP per capita and GDP Growth

Since the accession, GDP per capita for newly joined countries gains averaged 27 percent, with the gain exceeding 10 percent after 5 years. The gain is equivalent to a 2 percentage points higher GDP growth rate per year. This 2 percentage points refers to 2% more growth per year compared to a hypothetical counterfactual scenario where they had not joined the EU. These gains have considerably accelerated convergence within Europe. (IMF, 2025)

The Polish and Maltese economies more than doubled in size in the 20 years post-accession, while Slovakia's economy expanded by 80%. Out of the 26 million new jobs, which have emerged across the EU in the last 20 years, 6 million have been created in the 10 new EU countries. (European Commission)

Chart 5 compares European countries' 2024 GDP per capita with the historical year in which the United States had a similar income level. The United States in 2024 is indexed at 100. Albania stands at approximately one quarter of the current US level, broadly comparable to US income levels in the early 1950s. Albania is positioned close to other EU candidate countries, including North Macedonia, Montenegro, Serbia and Georgia, all of which remain substantially below the income levels of established EU members.

A clear income hierarchy is visible. EU accession candidates generally record the lowest GDP per capita, while newer EU members such as Bulgaria, Hungary, Romania, Poland, Croatia and the Baltic states occupy the middle of the distribution. Older and wealthier EU members including Germany, France, Austria, Sweden, the Netherlands and Denmark are positioned considerably higher. This pattern is consistent with the view that participation in the Single Market, access to EU funding, foreign investment and institutional convergence can support long-term income growth.

For Albania, the chart illustrates both the scale of the development gap and the potential for economic convergence. Moving toward the income levels currently observed in newer EU member states would require sustained productivity growth, stronger investment, greater export sophistication and more effective institutions. EU membership could facilitate this process, but the chart should not be interpreted as proof that membership alone causes higher income. Countries that joined the EU differed significantly in their starting conditions, reform quality, industrial structure and ability to absorb European funds.

The principal implication is that Albania has substantial room for catch-up growth. However, successful convergence will depend on whether European integration transforms the country's productive capacity and institutional effectiveness, rather than merely increasing consumption, imports or asset prices.

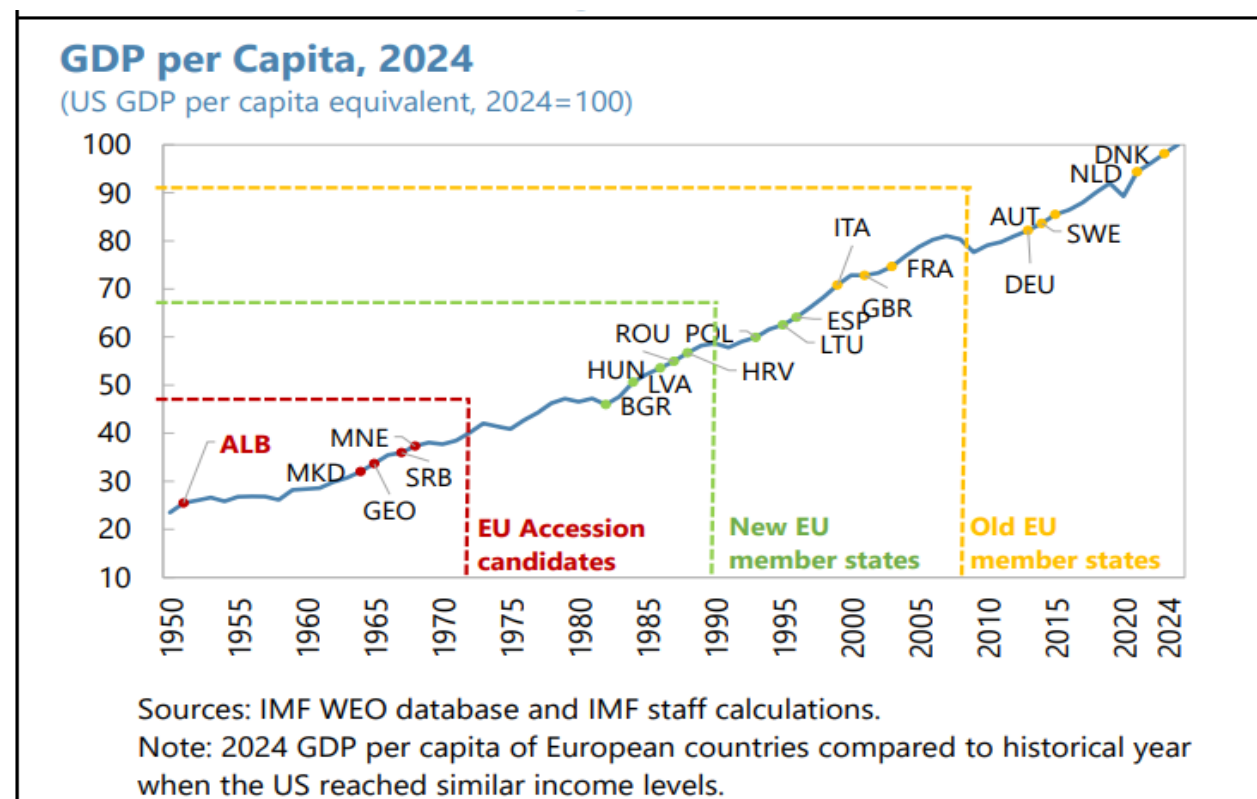


Chart 5: GDP per Capita comparison (IMF)

Main constraint of Albania's GDP growth is labor and productivity. The World Bank reports that unemployment has partly declined because the labor force is shrinking through ageing and emigration, while youth unemployment remained 21.5% compared to EU average of 14.7%. Labor force bottlenecks and weak participation among women could prevent investment from translating into sustained output.

Trade

Trade with the EU countries 2025, is 57.0 % of total trade. In this period, the share of exports to EU countries was 72.5 % of total exports, and the share of imports from EU countries was 51.0 % of total imports. (INSTAT)

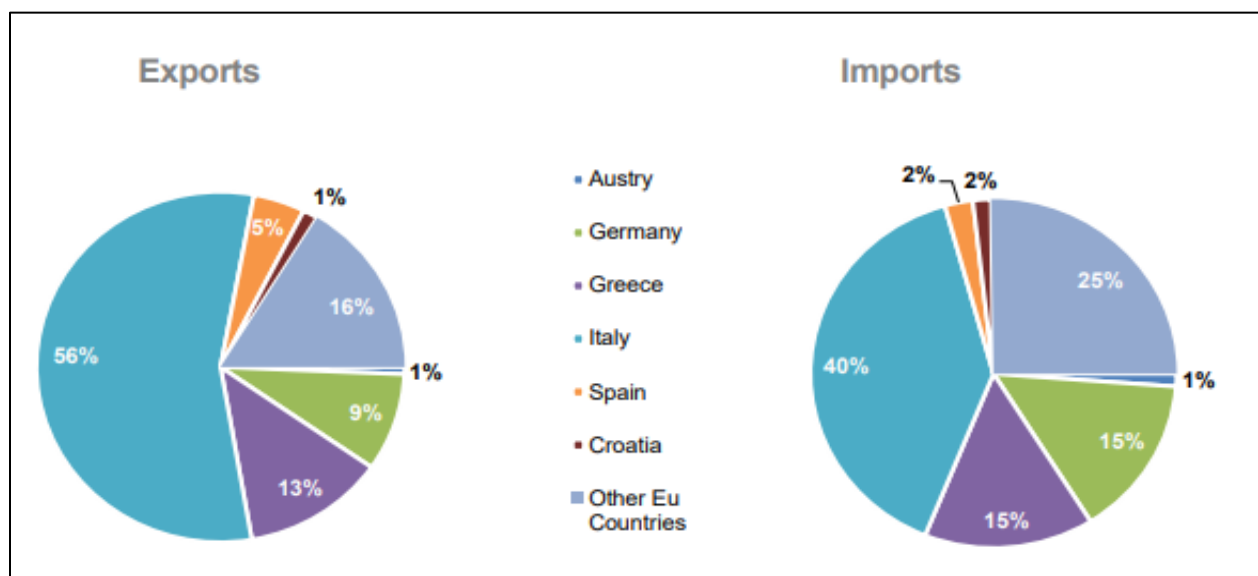


Chart 6: EU Trade statistics (INSTAT)

Albania's trade openness(exports plus imports relative to GDP) was 79.5% in 2024. The country nevertheless recorded a €1.9 billion trade deficit with the EU. (European Comision)

Because Albania already has preferential access to much of the EU market, the accession benefit will not primarily come from reducing non-tariff barriers, including:

- Product certifications
- Customs procedures
- Regulatory differences
- Payment and logistics costs
- Restrictions on services
- Uncertainty about legal and regulatory enforcement

In the short term, imports may initially rise faster. During accession and first years of membership, Albania is likely to import more machinery and capital goods, construction and infrastructure inputs, consumer goods, environmental and compliance technology and services. Consequently, the merchandise deficit could initially widen, the IMF already expects Albania's current account deficit to rise from 2.8% of GDP in 2025 to 3.5 over the medium term.

In the medium to long term, accession would support higher exports and investments as Albania integrates deeper into the European network. Tourism and exported services would increase together with Foreign Direct investments. World Bank modelling indicates reducing Western Balkan border delays could raise GDP by as much as 3% over the medium term, while EU accession could add another 6% to the GDP level through deeper economic integration.

Albania's exports remain structurally vulnerable. Services, particularly tourism, account for 80% of total exports on a balance of payments basis while manufacturing exporters have low value added and limited pricing power. (European Commission). Furthermore, Bank of Albania confirmed that tourism receipts represent 55% of exports. Another vulnerability arises due to the appreciation of the domestic currency.

Institutional integration

Integration into the EU institutions could potentially be the most important effect on Albania's road to accession. The relevant dimensions are:

- Equal application of the law
- Merit-based public employment
- Meaningful parliamentary and public consultation
- Civil society participation
- Transparent procurement
- Access to public services
- Inclusion of women, minorities and vulnerable groups
- Accountability of central and local government

World Bank research covering the 2003, 2007 and 2013 enlargement rounds found a statistically significant accession related improvement of approximately 0.14 points in the World Governance Indicators rule of law score. Importantly, most institutional improvement occurred before formal accession, when EU conditionality was the strongest.

For the 2004 entrants, the average governance score increased from to 49.4% of EU average four years before accession to 54.7% around accession to 62.8% four years after accession (World Bank)

According to the European Commission, Albania is only moderately prepared in the public administration reform, judiciary & fundamental rights and fight against corruption. It identifies weaknesses in merit based civil service recruitment, public consultation, ministerial coordination, local government capacity, transparency and equal digital access for vulnerable groups. Albania has made progress through the Specialized Structure Against Organized Crime and Corruption (SPAK). However, corruption remained widespread across vulnerable sectors, affecting both the public and private spheres. The institutional framework for prevention of corruption continued to have limited impact and coordination with law enforcement remained weak. Wealth transparency and effectiveness of asset declarations need to be addressed as well.

The commission additionally notes the following shortcomings:

- Limited effective parliamentary oversight
- Insufficiently meaningful public consultations
- Concerns over executive-judiciary separation
- Uneven institutional capacity at local government level
- Pending reforms to civil service recruitment and accountability
- Continued underrepresentation of women in Parliament

Improvement during the accession process will be:

- Stronger judicial independence and case management
- Merit based civil service recruitment
- Procurement transparency
- Greater regulatory predictability
- Expanded consultation with business and civil society
- Improved local administrative capacity
- Better access to public services and digital government

After accession, progress would continue but more slowly. The principal political risk is EU's reduced leverage after membership is granted and reforms become less urgent. Newly ascended countries have demonstrated that formal accession can improve governance without fully eliminating patronage, corruption, political influence or regional inequality.

Institutional Convergence: progress and remaining challenges

The Worldwide Governance Indicators (WGI) presented in Figure 2 provide a useful overview of Albania's institutional development over the last decade. The indicators measure six key dimensions of governance: Voice and Accountability, Political Stability, Government Effectiveness, Regulatory Quality, Rule of Law, and Control of Corruption on a scale from 0 to 100, where higher scores indicate stronger institutional performance. Comparing the results for 2014, 2019 and 2024 shows that Albania has made gradual progress across most governance dimensions, although the pace of improvement has varied considerably.

The strongest performance is observed in Political Stability, which consistently records the highest score among the six indicators. Despite fluctuations in domestic politics, Albania has maintained a relatively stable political environment and has avoided the levels of political violence and security risks experienced by several countries in the wider region. This stability has been an important prerequisite for economic growth, foreign investment and the continuation of EU accession negotiations.

Moderate improvements are also visible in Government Effectiveness and Regulatory Quality. These indicators suggest that Albania has gradually strengthened the functioning of public administration, improved regulatory frameworks and increased the government's capacity to design and implement public policies. Progress in these areas reflects ongoing reforms required under the EU accession process, including the digitalization of public services, modernization of institutions and alignment with the EU.

Similarly, Rule of Law has shown gradual improvement over the past decade, although it remains below the levels observed in most EU member states. Judicial reform, the vetting process for judges and prosecutors, and the establishment of specialized anti-corruption institutions have contributed to strengthening the legal framework. Nevertheless, challenges remain regarding the efficiency of the judiciary, contract enforcement, property rights, and the consistent application of laws.

The weakest indicator continues to be Control of Corruption. While the chart shows some improvement since 2014, Albania still scores considerably lower than in the other governance dimensions. This suggests that although important progress has been made, particularly through the creation of SPAK and the investigation of high-profile corruption cases, corruption remains one of the country's principal institutional challenges. Further improvements will require stronger preventive measures, greater transparency in public procurement, more effective asset declaration systems, and continued judicial independence.

Finally, Voice and Accountability has remained relatively stable over the period analyzed. Although Albania has strengthened democratic institutions and public participation in certain areas, the indicator suggests that further progress is needed in media independence, parliamentary oversight, public consultation and civic engagement to reach the standards typically observed within the European Union.

Overall, the evidence suggests that Albania has experienced steady but gradual institutional convergence over the past decade. The most notable progress has occurred in government effectiveness, regulatory quality and the rule of law, while corruption control remains the weakest aspect of governance. This pattern is consistent with the experience of many EU candidate countries, where reforms in administrative capacity generally advance more rapidly than improvements in judicial effectiveness and anti-corruption outcomes.

From the perspective of EU accession, these findings are encouraging. They indicate that Albania is gradually strengthening the institutional foundations required for membership. However, the remaining gap in corruption control and the rule of law also illustrates that future reforms should focus less on adopting new legislation and more on improving the effective implementation, independence and accountability of public institutions. Sustained institutional improvement will be essential not only for fulfilling EU accession criteria but also for creating an environment that supports long-term economic growth, higher investment and greater public trust in government.

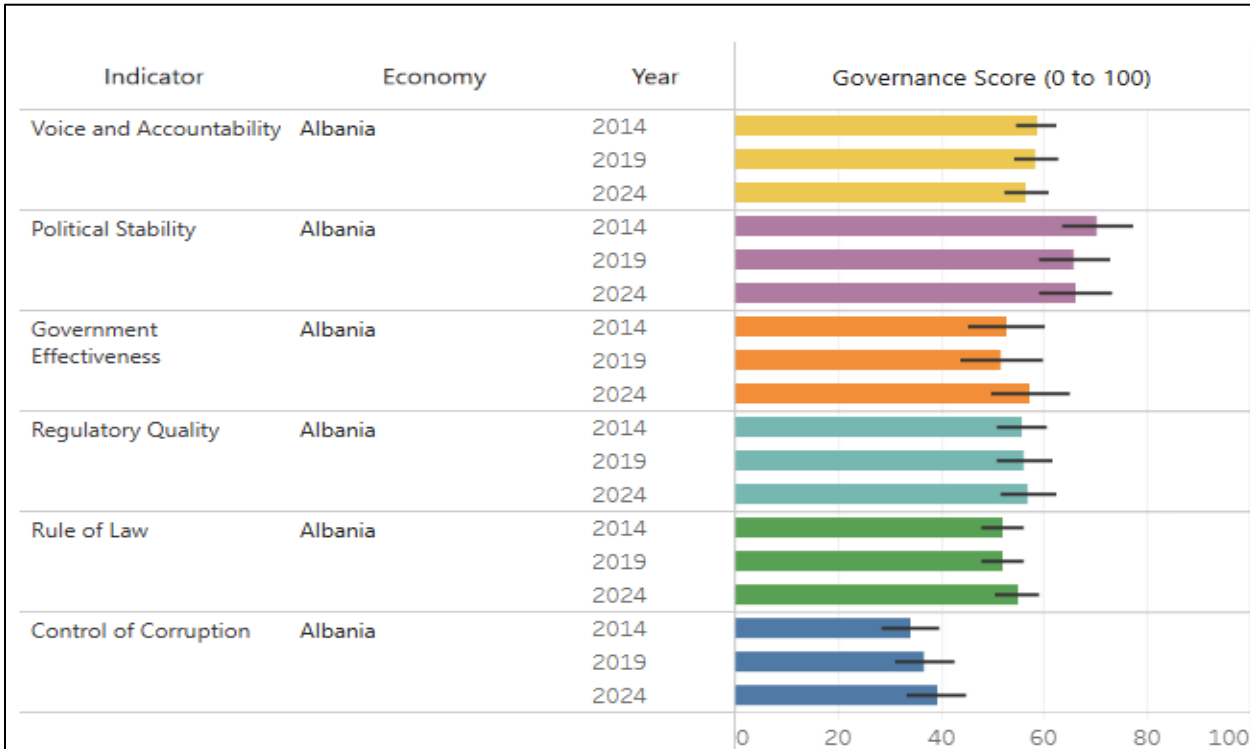


Figure 2: Worldwide Governance Indicators of Albania (World Bank)

Table 3 compares Albania's indicators to Bulgaria, Croatia, Slovenia and EU averages. The results indicate that Albania has established a relatively solid institutional foundation but continues to exhibit a noticeable gap compared with both existing EU member states and the EU average. Albania performs comparatively well in Political Stability (66.2), where it is broadly aligned with Bulgaria (66.6) and only moderately below Croatia (75.8) and the EU average (74.0). This reflects the country's increasingly stable political environment, which has supported economic growth, investment and progress in the EU accession process.

The largest institutional gaps are observed in Control of Corruption (39.3), Voice and Accountability (56.6) and Rule of Law (54.9). These indicators remain significantly below the EU averages of 76.5, 78.5 and 80.5 respectively, highlighting that institutional reform remains one of Albania's principal development challenges. Nevertheless, the comparison with Bulgaria and Croatia demonstrates that substantial institutional improvement is achievable. Both countries entered the European Union with governance challenges similar to Albania's and subsequently strengthened their institutions through judicial reform, regulatory harmonization, stronger public administration and greater transparency.

The experience of previous enlargements suggests that EU accession acts as a powerful catalyst for institutional convergence. Throughout the negotiation process, candidate countries are required to adopt and implement the EU *acquis*¹, strengthen judicial independence, improve public procurement, enhance regulatory quality and reinforce anti-corruption institutions. Unlike many macroeconomic indicators, governance reforms tend to generate lasting improvements by increasing investor confidence, reducing transaction costs, strengthening contract enforcement and improving the efficiency of public administration.

For Albania, the greatest opportunity lies not only in complying with EU legislation but in improving the quality of institutional implementation. Continued progress in judicial reform, digitalization of public services, merit-based recruitment within the civil service, transparency in public procurement and the effective prosecution of corruption could significantly narrow the current governance gap. As the experiences of Croatia and Bulgaria illustrate, institutional convergence is a gradual process that extends well beyond accession itself. If Albania maintains the current pace of reforms, particularly in the areas of rule of law and corruption control, it has the potential to converge steadily toward the governance standards observed across the European Union, creating a stronger foundation for sustainable economic growth and higher living standards.

¹ Common rights, obligations, and laws that bind all European Union member states together

Indicator	Albania	Croatia	Bulgaria	Slovenia	EU Average
Voice & Accountability	56.63	68.2	60.58	75.35	78.5
Political Stability	66.24	75.83	66.58	78.21	74
Government Effectiveness	57.41	65.14	52.17	72.52	79
Regulatory Quality	57	59.37	59.41	67.45	81
Rule of Law	54.93	63.46	56.39	73.81	80.5
Control of Corruption	39.34	50.86	43	61.5	76.5

Table 3: Worldwide Governance Indicators (World Bank)

EU membership would not replace Albanian institutions with Europeans ones. Its principal benefit would be to place Albanian institutions inside a binding supranational framework of common laws, judicial review, external audits, monitoring and financial conditionality. The institutional effects can be organized around the following pillars.

Property Rights and the cadastre

This is one of the most relevant areas for Albania. EU alignment should encourage:

- Completion and digitalization of land and property registration
- Clearer ownership histories and fewer overlapping titles
- Transparent procedures for restitution, compensation and expropriation
- Better registration of public and municipal property
- Faster resolution and ownership disputes
- Stronger use of property as mortgage collateral
- Greater transparency over the ultimate owners of companies and real estate

The European commission reports that approximately 91% of Albanian land has been registered but only 43% of ownership titles and 69% of supporting documents had been digitalized. It still considers the effective enjoyment of property rights limited. The broader economic benefit is that reliable property rights reduce legal uncertainty for households, banks. Developers and foreign investors. They may also make it harder to legitimize illicit funds through unclear ownership structures.

Independent and predictable judiciary

EU accession requires more than passing new laws. Albania would need to demonstrate that courts are:

- Operationally independent from government and political parties
- Staffed through merit based appointment and promotion
- Adequately funded
- Capable of handling cases within reasonable periods

- Consistent in interpreting laws
- Effective in enforcing judgements
- Accessible to citizens and businesses

After membership, Albanian courts would also apply EU law. They could refer questions on its interpretation to the Court of Justice of the European Union, helping ensure that Albanian authorities apply the same rules as other member states. For Albania, this could improve contract enforcement, protection against arbitrary administrative decisions, investor confidence, creditor rights and citizens ability to challenge the state. The 2025 Commission assessment recognized progress in Albania's judiciary but continued to identify political pressure, vacancies, backlogs, uneven evaluations and weaknesses in court administration.

Broader anti-corruption system

The greatest potential benefit is moving from a system focused primarily on prosecuting individual corruption cases to one that also prevents corruption institutionally. These includes stronger rules covering:

- Conflict of Interest
- Declarations of assets and interests
- Unexplained or concealed wealth
- Lobbying
- Political party and campaign financing
- Whistleblower protection
- Public procurement
- Anti money laundering controls
- Beneficial ownership
- Seizure and confiscation of criminal assets
- Integrity requirements for public officials

Increased transparency in public procurement and Private Public Partnerships

This could be the most important economically significant institutional benefits. EU procurement rules require:

- Transparent tender announcements
- Equal treatment of bidders
- Genuine competition
- Publication of contract information
- Objective selection criteria
- Independent appeal procedures

- Justification for negotiated contracts and exemptions
- Tighter regulation of concessions and PPPs

The aim is to reduce contracts being awarded through political connections, tailored technical requirements, emergency exceptions or opaque bilateral agreements. EU rules require public contracts to be open to eligible EU companies under common standards of transparency and equal treatment.

This area is particularly important because Albania's public procurement market represented 16.5% of GDP in 2024. The Commission continues to raise concerns about exemptions for "strategic" consultancy agreements, limited competition and incomplete alignment of Albania's concessions and PPPs framework. (European Commission)

This would result in lower project costs, better infrastructure quality, fewer politically allocated contracts, greater access for SMEs, clearer accountability for costs and less fiscal risk from PPPs and concessions.

Increased professionalism of civil service

EU integration creates pressure for a public administration that can implement complex legislation and manage EU funding. This normally requires:

- Merit-based recruitment
- Transparent promotion
- Protection against politically motivated dismissal
- Professional senior management
- Clear lines of responsibility
- Competitive salaries for specialized staff
- Regular performance assessment
- Institutional continuity after elections
- Training in EU legislation and project management.

For Albania, the central benefit would be reducing the extent to which public employment and senior appointments are influenced by party affiliation or personal connections. The Commission continues to request revised rules on merit-based recruitment, promotion and dismissal, particularly at senior levels. It has also identified weaknesses in policy coordination, accountability and the organization of subordinate institutions. A professional civil service improves economic performance because policies survive changes of government, permits are processed more consistently and EU-financed projects are less likely to be delayed or badly designed.

Stronger controls over public money

EU membership would introduce additional layers of financial oversight over EU-funded expenditure:

- Internal financial-control standards
- Stronger national audit institutions
- European Commission controls
- Audits by the European Court of Auditors
- Investigations by the European Anti-Fraud Office, or OLAF
- Financial corrections and recovery of misused funds
- Possible suspension of EU funds where rule-of-law failures threaten the EU budget.

The European Court of Auditors audits EU spending in cooperation with national audit bodies, while OLAF investigates fraud and corruption affecting EU financial interests and can recommend financial recovery, disciplinary action or criminal investigation. The EU's rule-of-law conditionality framework also allows measures such as suspended payments or financial corrections when institutional failures place EU funds at risk. These controls would not automatically cover every item of Albanian domestic expenditure. However, EU standards and administrative systems could create positive spillovers into the broader national budget.

Greater transparency and access to information

EU alignment can strengthen:

- Citizens' right to request government documents
- Proactive publication of contracts and public expenditure
- Online registers
- Disclosure of regulatory decisions
- Publication of asset and interest declarations
- Transparency of company and media ownership
- Consultation before laws are adopted
- Regulatory impact assessments
- Independent statistical reporting.

Albania already has access-to-information legislation, but the Commission considers implementation weak and has identified cases where authorities withheld information using broadly defined "public interest" justifications. The institutional benefit is not simply that more documents become available. Greater transparency gives journalists more evidence to investigate government, businesses more certainty about regulations, opposition parties

better tools to scrutinize the executive, stronger basis for administrative appeals and prosecutors and auditors better information trails.

Better lawmaking and public consultation

An inclusive institutional system requires laws to be developed openly rather than drafted by a small group within the executive and adopted rapidly. EU standards encourage:

- Publication of proposed laws
- Consultation with citizens, businesses and civil society
- Assessment of economic and social consequences
- Explanation of why consultation feedback was accepted or rejected
- Parliamentary scrutiny
- Limits on emergency and accelerated legislative procedures.

The Commission reports that Albanian consultation processes remain inconsistent and that parliamentary oversight of the executive is limited. Better consultation could reduce poorly designed laws, arbitrary tax changes and regulations that disproportionately favor politically connected firms.

Stronger competition institutions and control of state aid

EU membership would also constrain the government's ability to selectively favor particular companies. EU rules cover:

- Cartels and anti-competitive agreements
- Abuse of dominant market positions
- Mergers that significantly reduce competition
- Subsidies and tax advantages granted to selected businesses
- Preferential treatment of state-owned enterprises
- State guarantees and rescue packages.

EU competition rules require governments to justify state aid and limit assistance that distorts markets. For Albania, this could help reduce politically allocated subsidies, preferential concessions, barriers protecting dominant firms, unequal application of tax or regulatory rules, concentration of economic and political influence. The benefit would be especially important for smaller businesses that currently cannot compete on political access.

Independent regulators

EU membership requires credible and operationally independent regulators across areas such as:

- Competition
- Banking and financial markets
- Energy
- Telecommunications
- Audiovisual media
- Data protection
- Consumer protection
- Public procurement
- Statistics

Independence means that appointments, budgets and enforcement decisions should not be controlled informally by the governing party or regulated companies. This can reduce regulatory capture, where institutions formally exist but act in the interests of political or commercial elites.

Media freedom and institutional checks and balances

Media freedom is an institutional issue because corruption and abuse of power are more difficult to expose without independent journalism. The EU's Rule of Law Report examines four areas annually:

1. The justice system
2. Anti-corruption
3. Media pluralism and freedom
4. Institutional checks and balances.

For Albania, relevant reforms would include:

- Transparent media ownership
- Disclosure of public advertising
- Independent appointments to the media regulator
- Professional governance of the public broadcaster
- Protection of journalists
- Safeguards against political and corporate interference
- Stronger parliamentary and independent-institution oversight

The Commission currently identifies concentrated media ownership, opaque financing and political influence as risks to Albanian media pluralism.

Inclusive Institutions

Inclusive institutions should also mean that state institutions work for groups outside the political and economic center. EU alignment can strengthen:

- Equal treatment and anti-discrimination
- Minority rights
- Gender equality
- Disability access
- Regional access to public services
- Citizen participation
- Protection by ombudsman and equality bodies
- Local-government capacity
- Accessibility of digital public services.

EU social rules include minimum standards on equality, anti-discrimination and labor protections. For Albania, the relevant test would not merely be whether e-government services exist, but whether rural residents, elderly citizens, minorities and lower-income households can actually access them.

Potential Risks and Downsides of EU Accession

The downsides would mostly be transition costs, distributional effects and loss of policy flexibility rather than evidence that membership would make Albania poorer overall. The central risk is that market integration happens faster than Albania's productivity, administrative capacity and institutional quality improvements.

Faster emigration and brain drain

Freedom of movement could make it easier for young and skilled Albanians to work elsewhere in the EU. Albania already has one of Europe's largest diasporas, with more than one-third of its population living abroad. The World Bank also reports that 45% of Albanian firms have difficulty filling vacancies and expects labor shortages to worsen through 2030. This could create:

- Shortages of doctors, nurses, engineers, teachers and skilled tradespeople
- A smaller tax and social-security base
- Faster population ageing
- Weaker public institutions as qualified civil servants leave
- Wage increases that are not matched by productivity

he experience of Central and Eastern Europe indicates that emigration often accelerated after accession and disproportionately involved young and skilled workers. Remittances and eventual return migration would offset part of the cost, but for Albania this is probably the largest socioeconomic downside.

Pressure on Albanian SMEs and farmers

EU membership exposes domestic firms to competition from larger and more productive European companies. Albanian businesses would also have to comply with stricter rules covering:

- Product quality and certification
- Food safety
- Environmental protection
- Worker rights
- Accounting and reporting
- Consumer protection
- Data protection

This is particularly consequential because SMEs represent 99.9% of Albanian enterprises, employ 82.5% of the workforce and generate 78.2% of non-agricultural value added. Complying with EU standards may require new machinery, consultants, certification, employee training and administrative systems. More productive firms could expand into the Single Market, but weaker firms could lose market share, become acquisition targets, move into informality, reduce employment or close altogether. Agriculture would face similar pressures. Small, fragmented farms may struggle to meet traceability, hygiene, veterinary and environmental requirements even when EU agricultural funding is available. The Union of Albanian Producers estimates, based on initial surveys, that only 15% of businesses are prepared for the EU, while approximately 98% lack the financial means to shoulder the cost of transformation on their own.

Uneven distribution of benefits

EU membership would not benefit every region or social group equally. The first beneficiaries are likely to be:

- Tirana and other large urban areas
- Coastal tourism regions
- Skilled and internationally mobile workers
- Exporters and EU-connected businesses
- Property and landowners

- Firms capable of obtaining EU financing

Potentially weaker beneficiaries include:

- Remote and mountainous regions
- Subsistence farmers
- low-skilled workers
- informal businesses
- Renters and younger households
- Municipalities with weak administrative capacity.

Past EU enlargement produced strong national income convergence, but substantial regional differences remained within member states. The European Commission notes that regional disparities narrowed initially but later stagnated in several parts of the EU. For Albania, EU integration could therefore narrow the income gap with Europe while simultaneously widening the gap between Tirana, the coast and peripheral regions.

Housing and land could become less affordable

Accession expectations could increase demand for:

- residential property
- coastal real estate
- agricultural land
- commercial property
- tourism developments

Potential drivers include foreign buyers, diaspora investment, lower perceived country risk, infrastructure projects and expectations of future income convergence. Property prices could therefore converge toward EU levels faster than Albanian wages. The consequence would be a transfer of wealth toward existing property owners and away from renters, first-time buyers, younger households and residents of rapidly developing tourism areas. In Albania, this risk is magnified by unresolved property claims, construction informality, an already active real-estate sector and limited housing-market transparency. The outcome could be asset-price convergence without equivalent productivity convergence.

Significant administrative and fiscal costs

Applying the EU *acquis* requires ministries, municipalities, courts and regulators to administer thousands of legal and technical obligations. Albania would need additional capacity for:

- EU program management

- Environmental enforcement
- Agricultural inspections
- Customs and market surveillance
- Competition policy
- Financial control
- Statistical reporting
- Public procurement
- Project monitoring and evaluation

The European Commission considers stronger staffing, retention, monitoring, financial management and audit capacity critically necessary for Albania's future cohesion-policy system. EU projects also normally require domestic co-financing. This means Albania may have to allocate national budget resources to match EU funding, potentially reducing fiscal flexibility elsewhere.

EU funds could create new corruption opportunities

EU membership increases external scrutiny, but it also increases the amount of money channeled through public procurement, infrastructure and subsidy programs. As mentioned previously, Albania's public procurement market represented 16.5% of GDP in 2024. The European Commission continues to identify concerns regarding exemptions from open competition, incomplete PPP alignment, procurement capacity and corruption prevention. If oversight remains weak, corruption may not disappear but may shift from relatively simple bribery toward more sophisticated forms such as:

- Tailored tender requirements
- Collusive bidding
- Inflated project costs
- Politically connected subcontracting
- Conflicts of interest
- Misuse of agricultural or regional-development grants
- Manipulation of project selection

The downside is therefore not caused by EU funding itself. It arises when a large increase in available resources occurs before audit, procurement and judicial institutions become sufficiently effective.

Loss of national policy discretion

EU membership requires Albania to apply the complete body of EU law. This places limits on independent decision-making in areas such as:

- Trade policy and tariffs
- State aid and subsidies
- Competition policy
- Public procurement
- Environmental standards
- Agricultural policy
- Financial regulation
- Migration and border management;
- consumer and labor regulation

For example, the government would have less freedom to grant preferential subsidies, tax benefits, guarantees or contracts to selected domestic firms. State support would need to comply with EU competition and state-aid rules. These restrictions are designed to prevent favoritism and protect the Single Market. Nevertheless, they could constrain Albania's ability to protect certain domestic industries, favor national suppliers, pursue discretionary industrial policy, negotiate independent trade agreements or maintain lower regulatory standards to attract investment. Albania would gain representation in EU institutions, but as a small member state its individual influence would remain limited.

Risk of superficial compliance

The pressure to close negotiating chapters quickly can encourage governments to adopt laws faster than institutions can implement them. This can produce:

- EU-compliant legislation on paper
- Weak enforcement in practice
- New agencies without qualified staff
- Overlapping institutional responsibilities
- Box-ticking reporting exercises
- Excessive dependence on external consultants
- Frequent legal amendments that create uncertainty

Albania's accession process has now entered a more demanding phase focused on implementation, credible track records and lasting results, rather than simply adopting legislation. The danger is that institutional complexity increases while state effectiveness does not.

Reform momentum could weaken after accession

Before accession, the EU possesses strong leverage because progress determines whether chapters are opened or closed. After membership, that leverage becomes weaker and politically more difficult to exercise. This could lead to

- Reform fatigue
- Renewed political influence over regulators and courts
- Reduced urgency around corruption cases
- Reversal of civil-service professionalization
- Weaker commitment to transparency
- Greater politicization of EU funds

The European Commission has acknowledged this wider enlargement risk by proposing stronger safeguards in future accession treaties against post-membership backsliding on democracy, rule of law and fundamental-rights commitments. Membership therefore cannot be treated as the final achievement of institutional reform. It must be accompanied by domestic political accountability that continues after EU conditionality declines.

Higher environmental and energy transition costs

EU environmental standards would improve health and sustainability, but implementation would be expensive. Albania would need investment in

- Wastewater treatment
- Waste management
- Recycling
- Industrial emissions
- Energy efficiency
- Protected areas
- Agricultural pollution
- Environmental monitoring
- Climate adaptation

These costs would be borne through some combination of government spending, EU funding, higher utility tariffs, business investment, higher consumer prices. Low-income households could be affected disproportionately if electricity, water, waste or transport prices rise before adequate social support is introduced.

Political disappointment and Euroscepticism

The public may expect membership to produce immediate European wages, lower corruption and better public services. In reality, convergence normally takes decades. If prices and emigration rise faster than:

- Wages
- Productivity
- Institutional trust
- Healthcare quality
- Employment opportunities

The population may conclude that membership has not delivered its promises. This can create political space for populist arguments that Albania has surrendered sovereignty without receiving sufficient economic benefits.

Conclusion

European Union membership represents one of the most significant economic and institutional transformations in Albania's modern history. While public debate often focuses on the immediate economic effects of accession, this paper demonstrates that the most profound and lasting benefits are likely to arise through stronger institutions rather than through short-term macroeconomic changes.

From a macroeconomic perspective, Albania enters the accession process from a position of relative strength. Comparative evidence from Slovenia, Croatia and Bulgaria suggests that EU membership itself has not generated sustained inflationary pressures. Instead, inflation has historically been driven by global commodity prices, energy markets and domestic economic conditions. Consequently, current evidence does not support the view that accession would trigger a prolonged increase in inflation in Albania.

The analysis also indicates that EU membership has the potential to accelerate long-term economic convergence. Deeper integration into the Single Market, improved access to investment, lower regulatory barriers and stronger investor confidence should support higher productivity, greater export competitiveness and rising incomes. Nevertheless, the experience of previous enlargements demonstrates that convergence is neither automatic nor guaranteed. Sustainable growth will depend on Albania's ability to improve productivity, strengthen human capital and increase the sophistication of its export base.

The paper finds that institutional reform constitutes the principal channel through which EU accession is expected to influence Albania's long-term development. Alignment with the EU

acquis extends beyond legislative harmonization, it requires stronger judicial independence, more transparent public procurement, professional public administration, more effective anti-corruption institutions, greater regulatory certainty and broader citizen participation in policymaking. These reforms reduce transaction costs, improve contract enforcement and create a more predictable environment for businesses and investors. In this sense, institutional convergence should be viewed not as a political obligation but as a fundamental driver of economic development.

The analysis also highlights several risks associated with accession. Increased labor mobility could intensify emigration and skill shortages, while domestic firms will face stronger competition from European companies. Housing affordability, regional inequality and administrative capacity may also become more pressing challenges during the transition. Furthermore, the effectiveness of institutional reforms will ultimately depend on implementation rather than legislation alone. Experience across previous enlargement rounds shows that reform momentum often slows after accession, emphasizing the importance of maintaining political commitment beyond membership itself.

Overall, the findings suggest that Albania's success within the European Union will depend less on the date of accession than on the quality of reforms implemented before and after membership. Macroeconomic stability provides an essential foundation, but institutions determine whether investment is productive, markets function efficiently and public resources are allocated transparently. EU accession should therefore be understood not simply as entry into a larger market, but as an opportunity to strengthen the institutional framework that underpins sustainable economic growth, higher living standards and greater public trust. If Albania maintains its current reform trajectory and effectively implements the necessary institutional changes, EU membership has the potential to become a catalyst for long-term prosperity and durable convergence with the rest of Europe.

Area	Expected Impact	Time Horizon
Inflation	Low	Short-Term
GDP Growth	Positive	Medium-Term
Trade	Positive	Medium-Term
Institutions	Very Positive	Long-term
Corruption	Improves Gradually	Long-term
Housing	Mixed	Medium-Term
Brain Drain	Negative	Short-Term

Table 4: Summary Table

Limitations

This paper examines the expected economic and institutional effects of Albania's accession to the European Union by combining evidence from previous enlargement rounds with the latest assessments from the International Monetary Fund, World Bank, European Commission and other international institutions. Although these sources provide a robust analytical foundation, several limitations should be acknowledged.

Albania has not yet become a member of the European Union. Consequently, the analysis is necessarily forward-looking and relies on projections rather than observed post-accession outcomes. Actual developments will depend on the timing of accession, the final terms of the Accession Treaty, domestic policy decisions and the broader international economic environment.

The experiences of countries such as Croatia, Slovenia and Bulgaria provide valuable benchmarks but cannot be assumed to predict Albania's future with complete accuracy. Each country entered the European Union with different economic structures, demographic trends, institutional capacities and geopolitical circumstances. Albania's relatively small economy, high dependence on tourism, significant diaspora and ongoing demographic decline may result in outcomes that differ from those observed during previous enlargement rounds.

Institutional quality is inherently difficult to measure. Indicators such as the Worldwide Governance Indicators and Transparency International's Corruption Perceptions Index rely partly on perception-based methodologies and therefore may not capture every aspect of institutional effectiveness or recent reforms. While these indicators remain among the most widely used international benchmarks, they should be interpreted as approximations rather than precise measurements.

Finally, this paper focuses primarily on the macroeconomic and institutional dimensions of EU membership. It does not examine in detail other important areas, including sector-specific impacts on agriculture and manufacturing, fiscal transfers from the EU budget, Common Agricultural Policy payments, environmental legislation, defense cooperation, migration policy or the long-term effects of euro adoption. These topics represent important avenues for future research.

Despite these limitations, the combination of international empirical evidence, comparative analysis and official institutional data provides a credible basis for assessing Albania's expected trajectory. Rather than predicting exact outcomes, the paper identifies the most likely economic and institutional effects of EU membership based on the experiences of previous enlargements and the current state of Albania's accession process.

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